GMS WEEKLY

Your Source for Recycling News

June 20th, 2025
Week 25
Volume 273, Issue 1190

Highlights:

- **Markets creak.**
- **Weekend at Berrnie's**
- **Dramas dominate.**
- **Regulation bites.**
- **HKC webinar.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"If you're brave enough to say goodbye, life will reward you with a new hello."

– Paolo Coehlo

-- MARKET COMMENTARY --

LANDMARK WEEK…AHEAD!

The world watched in disbelief as the U.S. carried out a major attack on 3 Iranian nuclear sites and while claiming destruction of the facilities despite awaiting BDA (Battle Damage Assessment), early indications seem to suggest that the primary facility may still be intact. And while this strike was conducted over the weekend, the tension surrounding the possibility of an attack saw the BDI (Baltic Exchange Dry Index) fall a massive 3.5% down to its lowest level seen over the last 2 weeks, erasing a majority of recent gains as Friday closed. Leading the race was the Capesize index that fell nearly 6.5% across the week while the Panamax index fell 0.2% during the same time. The price of oil, which will also be a key item to keep an eye out for next week especially as the Iranian government votes to shut down the Gulf of Hormuz effectively terminating Iranian oil exports, had already fallen about 0.2% (seems to be a theme here) to end the week at USD 73.80/barrel. Global markets immediately started reacting post-strikes as the U.S. Dollar, having ended Friday overall stronger than most recycling nation currencies, saw the "Weekend at Bernie's" volatility push the U.S. Dollar all over the currency board. Local steel plate prices also continued along the same trajectory as recent weeks i.e. down in some while laying on the beach in others.

And while these seismic shifts are not without reverberations that have already been felt all over the Indian sub-continent ship recycling sector, the upcoming enforcement of the HKC exacted a self-imposed, yet much-needed set of restrictions to ensure that the business of recycling endures at key locations. Price declines that started recently will also continue across an already creaky Indian sub-continent ship recycling sector, which itself is going through a tonnage drought on the back of recently firming freight rates despite recycling markets suffering through one of the worst supplies of recycling tonnage in 2024 in over a decade, all while global ship recyclers were bracing (hoping?) for a healthy inflow of vessels in 2025. Much of this backlogged tonnage is still expected to come for recycling as owners have delayed the sale of some really overaged units as these vessels continue to earn decent rates amidst disastrous geopolitical events that continue to strike the global economy and keep freight markets, more than buoyant.

As tonnage remains absent from the bidding tables, for anxious ship recyclers, Trump's incessant hopscotching over tariffs and changing trade policies now blended with a fresh new conflict in the Middle East will make it difficult to predict which way the winds will blow (where currencies and local steel plate prices are concerned) and just where subsequent offers will end – tea leaves anyone? One thing seems certain, as regulatory requirements stand to kick in as the HKC is due to finally come into force next week amidst requisite yard upgrades being fully underway in Bangladesh and some report of works beginning even in Pakistan, the convention stands to make significant improvements to a much-maligned industry and firmly places it in line with a global set of approved environmental and operational standards. **To follow further developments, please join us for an in-depth discussion of the Hong Kong Convention and its ramifications on ship recycling with our dedicated webinar series on Junte 25th and June 26th.**

On a closing thought, will the closing of the Straits of Hormuz open the proverbial "tap" of tonnage for the recycling markets as oil prices and global volatility surges? Tanker tonnage anyone?

BANGLADESH

One week to go!

Upgrades continue.

With only a week to go until the official entry of the Hong Kong Convention into force, upgrades continue at a furious pace at Chattogram yards in order to get more facilities certified by various classification societies in order to conform to incoming HKC standards that will ensure Bangladeshi recyclers can continue recycling vessels and operate in a post-June 26th era of ship recycling. As of now, 10 recycling yards have successfully obtained their HKC accreditations and with about 25 more yards still in the process of upgrades, these (yards) will remain incapable to receive NOCs that would have otherwise afforded them the freedom to negotiate at the bidding table, as there have been several units, including large(r) LDT vessels (LNGS and a VLOC), recently sold to Indian recyclers, despite the expectedly quieter monsoon months are firmly upon us.

Filling plots.

With a brand-new conflict in Iran emerging and fundamentals expected to go on a roller-coaster in the coming week(s), we have already seen the starting signs as the Bangladeshi Taka, which had already lost 27 basis points by Friday against the U.S. Dollar, reduced the decline to only 7 basis points but at the time of writing and ended at BDT 122.15. Local steel plate prices have also resumed flatlining at USD 551/Ton (same as last week) that saw local offerings retreat, leaving the domestic steel market in a dull state at a time the nation is dealing with torrential rains that has delivered a restricted state of recycling, steel processing, and onward sales from local chop shops to domestic steel mills for further use. The disparaging state of unrelenting rains have also started to diminish domestic development and manufacturing works as demand for finished products is expected to remain low during this time.

Negative pricing.

At the macro end, although the country's inflation has fallen to 9.05% across May, June has seen GDP slow despite the interim government reportedly implementing reform initiatives in the hopes of reversing the economic downturn that hasn't let off the gas pedal since June 2024. Elections too are expected towards the end of the month and with a USD 5/Ton drop expected on vessel prices due to changes in tax structures announced in the recent FY 2025 – 2026 budget, the expectation is that vessel offerings at the bidding tables will continue to maintain a downward course, just as they have been over the last month or so. The resurging absence of tonnage at the bidding tables is also likely to keep the true price-gauge on potential vessels uncertain at this time even though ongoing indications have helped Bangladesh maintain the top spot on the market price rankings chart.

Writing on the wall?

Overall, with the world of ship recycling set to change forever this week and a majority of local recyclers still in the process of obtaining their accreditations, the short-term flow of recycling tonnage across Chattogram's waterfront is expected to remain anemic in the weeks ahead, just as it has been across the last few weeks including this one, with no fresh arrivals and a lone delivery of a unit stranded at anchorage since May. Is the writing on the wall already?

NO MARKET SALES REPORTED

INDIA

FALLING, YET BUSY!

Struggle to secure.

The Indian market has certainly fallen behind their sub-continent competitors over the last couple of months and as such, has missed out on much of the pre-HKC restriction tonnage that was recently sold into Bangladesh and even Pakistan, as Gadani recyclers geared up at the same time and tempted a few ship owners with geographically better-suited units for a Pakistan redelivery, helping owners eke a better price on their units and also help the Gadani gang get their hands on some much-needed decent LDT units (bulkers) away from Indian ship recycling hands.

Lowest in sub cont.

However, subsequent HKC-restrictions imposed in Bangladesh then saw market tonnage, regardless of its geographic location, chart recycling routes towards WC India / Pakistani shores, isolating non-HKC yards in Bangladesh that had their NOCs tied to their accreditations. And as Pakistani offerings were firming, it was Indian steel plate prices and the Indian Rupee that decided to shake up Indian sentiments across 2025 that saw the Indian Rupee break historical records around region Rs. 88, then firm back up to region Rs 85, and resume a fresh ride down the depression chute of late as it was the only sub-continent recycling destination to suffer the largest decline against the U.S. Dollar this week, at 37 basis points and ended the week at Rs. 86.47. Local steel plate prices too were quick to join in during the same time, falling to the lows of USD 43X/Ton, then rising all the way to USD 47X/Ton, and are now back down to USD 428.31/Ton after having declined about USD 3/Ton this week.

No advantage.

Given the generally jittery nature of Alang recycler sentiments, the natural order of Indian vessel pricing is to follow the direction of domestic fundamentals that have yoyoed unrelentingly, leaving Alang recyclers at the bottom of the Indian sub-continent pricing chart more often than not. And with the unfolding uncertainty around the recent Iran attack yet to be fully grasped, in addition to oil jitters that are likely expected to send the barrel skywards in the coming week(s), the onset of inflation could take a healthy bite out of India's current economic direction and simply make the business of ship recycling, an unsustainable affair in the interim. Notwithstanding, Alang buyers certainly remained busy taking in the most deliveries of the week as 5 vessels and nearly 67K LDT, including a 20K LDT tanker and a 32K LDT LNG, is awaiting at Alang's anchorage or has already been delivered to its final owner,

Sunshine in the rains

With HKC now standing the global doorstep of the ship recycling world, India will no longer be able to use their acclaimed 'Ace Card' as being the only and fully HKC certified destination, especially as Bangladeshi yards are well on their way to becoming HKC compliant and Pakistani yards are also finally commencing upgrades of their own. Until all of the pending yards obtain their independent certifications, Alang recyclers will continue to rake in a majority of the market tonnage that is unable / unwilling to go a non-HKC destination.

Just how long this constantly narrowing HKC gap permits Alang to maintain their offerz at current levels remains to be seen. For now, let's just let Alang recyclers enjoy some sunshine in the rains.

NO MARKET SALES REPORTED

PAKISTAN

ROOOOOM TO IMPROVE!

Positive steps.

Pakistan has finally made some positive moves over the last couple of weeks with most Gadani recyclers increasingly displaying a willingness to improve their respective ship recycling facilities and fall in line with HKC requirements, in order to continue to acquire recycling vessels from July. But, with less than a week to go before the convention enters fully into force, one does feel that their (Gadani recyclers) recent efforts may unfortunately be too little too late and that this work should in fact have commenced months ago. Moreover, at the given rate of yard improvements, it is evident that much of, if not the the rest of this year (and probably well into next), will likely be expended in bringing all Gadani ship recycling facilities up to speed.

Rather late.

And although the lack of infrastructure has helped Gadani recyclers acquire a few non-HKC units over the recent months, the urgency surrounding importing vessels under the upcoming rules of the convention and the timing of tonnage that is once again diminishing at the bidding tables, may offer local recyclers the psychological boost that not much is happening outside of yard upgrades that they are missing out on.

Moreover, Pakistani fundamentals, like neighboring India, have been functioning in a state of disarray as the Pakistani Rupee resumes its decline against the U.S. Dollar with a 32-basis point drop this week, ending it at PKR 283.52, all while Pakistani steel plate prices also resumed flatlining at a far healthier USD 611/ton despite maintaining the widest margins for Gadani recyclers (when compared to their neighbors) on their recycling acquisitions since last October (at least).

Tankers?

Meanwhile, all the HKC drama in addition to the ambiguity surrounding U.S. tariffs against Pakistan will likely pale in comparison to the unfolding events that will affect the nation now that the Iranian Parliament has voted to close to Straits of Hormuz. With over 20% of the world's oil output departing Iranian waters including Pakistan that imports nearly all of its oil from Iran, the nation has an extremely rocky road ahead for its economy. Furthermore, with a greater inflow of (likely wet) tonnage that is expected to make it onto the bidding tables in the near future should the expected closure come through, just how the Gadani authorities handle incoming permissions for recycling vessels, especially tankers, remains to be seen.

Jarred July.

It is however being reported that Paksitani authorities may consider issuing an extremely limited number of approvals and that too on a case-by-case basis, driven primarily by the level of upgrades completed at the importing yard. Will this be enough to convince ship owners to take the bait for a few USD/ton more and divert their vessels away from Indian shores, is a surprise waiting to happen. What is a certainty is that unlike any of its sub-continent ship recycling competition, a jarred July doesn't seem likely to be one to go easy on the Gadani gang.

NO MARKET SALES REPORTED

TURKEY

NADA!

Lira fell a staggering 79 basis points and ended the week at TRY 39.72 against the U.S. Dollar. Aliaga steel pricing and thereby, vessel pricing, remains irrelevant given that there is no market tonnage to bid on. Price ideas remain but the real taste comes when you get bite into it hot. For now, there's nada happening here.

Real taste.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 25 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Weak**	440 / LDT	460 / LDT	470 / LDT
2	Pakistan	**Weak**	430 / LDT	450 / LDT	460 / LDT
3	India	**Weak**	420 / LDT	440 / LDT	450 / LDT
4	Turkey	**Weak**	250 / LDT	260 / LDT	270 / LDT

WEIRD ONES!!

- *I remember reading that if you look at pictures of sick people, your immune system will automatically give itself a little boost just by looking at the pictures.*
- *The story of Humpty Dumpty doesn't explicitly state that he is an egg.*
- *UTIs in the elderly can cause them to hallucinate or be disoriented.*
- *Rabbits don't have paw pads like cats or dogs. They've got nothing but fluffy feet. If you see a cartoon rabbit with paw pads, it's all lies.*
- *Sign language isn't universal. Sign languages are their own unique languages, not just a signed version of spoken language.*
- *Humans have stripes. We just can't usually see them. They're called Blaschko's lines, and according to the American Osteopathic College of Dermatology, they're patterns on "the skin that represent the developmental growth pattern during epidermal cell migration.*
- *St. Patrick was not, in fact, Irish. Despite being the patron Saint of Ireland (and St. Patrick's Day generally being a celebration of Irish pride and culture), St. Patrick was actually born in Scotland. He ended up in Ireland after being kidnapped by Irish pirates and kept as a shepherd.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
July 06 – Ashura	June 22 – June 30 July 08 – July 16 July 21 – July 29

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
July 05 – Ashura	June 24 – June 27 July 11 – July 14 July 24 – July 27

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July	July 01 – Bank Holiday July 05 – 06 – Ashoora	July 15 – Democracy & National Solidarity Day

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ALANG - Port Position as of June 20, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Bira*	*2,063*	*Container*	*Delivered June 14*
2	Conica Atlas	20,001	Oil Tanker	Arrived June 13
3	***Lord 17***	***2,583***	***General Cargo***	***Delivered June 14***
4	Nirvana	9,623	Oil Tanker	Arrived May 07
5	*Ukhan*	*32,467*	*LNG Carrier*	*Delivered June 16*
Total Tonnage		**66,737**		

CHATTOGRAM - Port Position as of June 20, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Sidimi*	*2,985*	*RoRo Cargo Vessel*	*Delivered June 16*
		2,985		

GADANI - Port Position as of June 20, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Pacific K	10,386	Bulk Carrier	Arrived June 10
Total Tonnage		**10,386**		

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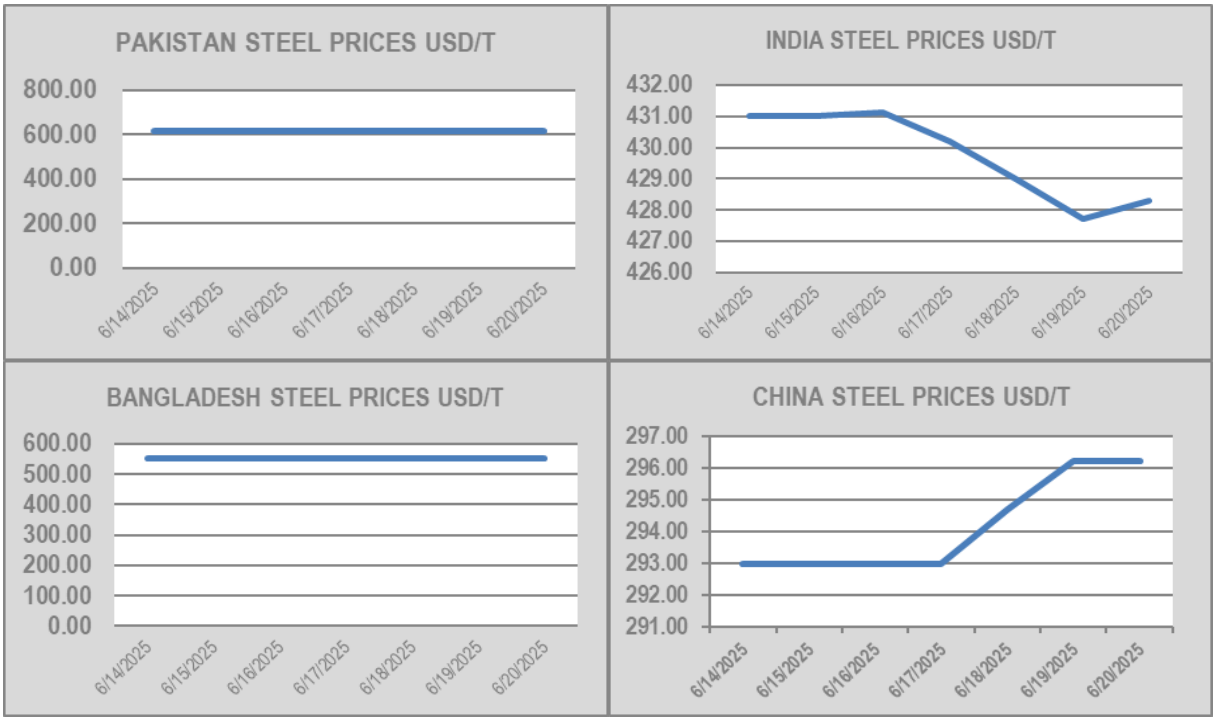
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/14/2025	430.99	37,100.00	616.04	174,000.00	551.44	67,000.00	293.01
6/15/2025	430.99	37,100.00	616.04	174,000.00	551.44	67,000.00	293.01
6/16/2025	431.14	37,100.00	616.04	174,000.00	551.44	67,000.00	293.01
6/17/2025	430.19	37,100.00	616.04	174,000.00	551.44	67,000.00	293.01
6/18/2025	429.00	37,100.00	616.04	174,000.00	551.44	67,000.00	294.73
6/19/2025	427.72	37,100.00	616.04	174,000.00	551.44	67,000.00	296.25
6/20/2025	428.31	37,100.00	616.04	174,000.00	551.44	67,000.00	296.25



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